

Five Key Terms About Money Everyone Should Know

Have you heard familiar terms about money but are not completely sure what they mean? It is a common experience. The purpose of this document is to clarify everyday financial terms that impact your personal finances. Whether you are just beginning to manage your money or have already managed your own finances for multiple years, the information below provides helpful and easy to understand definitions. Each section breaks down the financial term with everyday examples that allow you to better understand how to manage your personal finances.



Budget

- A simple plan showing how much money you earn, save, and spend over a given period.
- Good budgets help you live within your means and achieve your financial goals.
- Budgets can be created on paper, online, or through software such as Microsoft Excel.



Credit

- Money you borrow now and must repay later, often with interest.
- Utilizing credit responsibly helps build financial trust with people that lend you money.
- Common examples of credit include credit cards, auto loans, and mortgages.



Interest

- The extra money paid when you borrow (a cost) or earned when you save or invest (a reward).
- While you pay interest on your car loan, you receive interest from your deposits at the bank.
- Interest is associated with credit cards and loans, but also savings and investments.



Savings

- Money set aside for future needs or unexpected emergencies.
- Small, consistent savings, such as \$50 a month can add up over time.
- In event of an emergency, savings can cover sudden expenses such as an expensive car repair.



Debt

- Money you owe to others, which is required to be repaid over time.
- Paying your debt on time and not borrowing too much ensures your finances are healthy.
- Debt can be good (investing in a house) or bad (covering daily expenses without repayment).

References

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